Banking Law — Previous Year Question Paper Analysis

Law of Banking & Negotiable Instruments · Osmania University LLB (3 YDC) Sem V · **2012–2023**

Companion to the **Banking Law Final Exam Cluster Notes**, the **Previous Year Question Papers** and the **Banking Story Notes** · by **lawsticker-ai.com**

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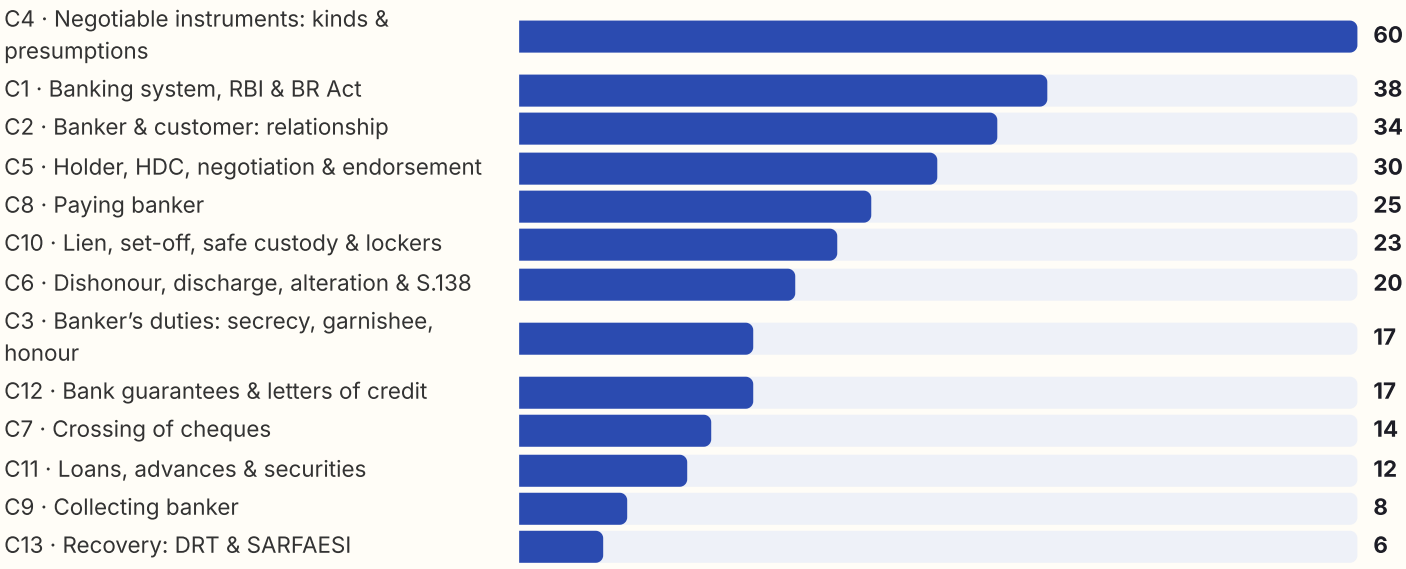
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20	305	13	7
sittings	questions	topic clusters	Tier 1 clusters

Key findings

1. **Unit III (Negotiable Instruments Act) is the biggest block** — **124 of 305** questions (C4–C7), and **43 of 77 Part C problems** are NI problems: endorsements, holder in due course, forgery, alteration, dishonour.
2. **Banker–customer relationship is the most reliable essay** — a Part B question in **15 of 20 papers**. The **Banking Regulation Act / banking system** essay comes next (C1: 18 essays).
3. **Short notes are mostly instruments** — promissory note, bill, cheque, traveller's cheque, drafts, dividend warrants (C4: 38 short notes), plus **crossing** (13) and **LC / bank guarantee** (12).
4. **Unit V is rising since 2021** — loans & securities and DRT / SARFAESI give **12 questions in the 6 papers from 2021 on**, against 6 in the 14 papers before.
5. **Part C repeats itself**: forged endorsement, partial and conditional endorsements, jewels in safe custody, payment before countermand and joint lockers have each come **2–7 times** (table on page 3).

Questions per cluster — all sittings, 2012–2023



Cluster × part — and how many papers asked it

Cluster	Unit	Tier	A	B	C	Total	Asked in (of 19)	Story Notes
C4 Negotiable instruments: kinds & presumptions	III	T1	38	13	9	**60**	19 (100%)	Ch 5
C1 Banking system, RBI & BR Act	I	T1	19	18	1	**38**	18 (94%)	Ch 0, 1
C2 Banker & customer: relationship	II	T1	18	15	1	**34**	17 (89%)	Ch 2, 3
C5 Holder, HDC, negotiation & endorsement	III	T1	7	2	21	**30**	13 (68%)	Ch 5
C8 Paying banker	IV	T1	9	6	10	**25**	14 (73%)	Ch 8
C10 Lien, set-off, safe custody & lockers	V	T1	11	2	10	**23**	13 (68%)	Ch 10
C6 Dishonour, discharge, alteration & S.138	III	T1	1	7	12	**20**	11 (57%)	Ch 7
C3 Banker's duties: secrecy, garnishee, honour	II	T2	4	4	9	**17**	8 (42%)	Ch 4
C12 Bank guarantees & letters of credit	V	T2	12	5	0	**17**	12 (63%)	Ch 12
C7 Crossing of cheques	III	T2	13	0	1	**14**	11 (57%)	Ch 6
C11 Loans, advances & securities	V	T2	9	1	2	**12**	7 (36%)	Ch 11
C9 Collecting banker	IV	T3	6	1	1	**8**	8 (42%)	Ch 9
C13 Recovery: DRT & SARFAESI	V	T3	3	3	0	**6**	4 (21%)	Ch 13

A = short note · **B** = essay · **C** = problem. 'Asked in' counts only the **19 papers** where Parts A, B and C are all available. **Tier** = average questions per paper: **T1** one or more, **T2** 0.6 to 1, **T3** fewer. **Story Notes** = the chapter of the Banking Story Notes that teaches the topic.

Trend by period

Cluster	2012–15 (7)	2016–20 (7)	2021+ (6)	Trend (per paper)
C4 Negotiable instruments: kinds & presumptions	21	25	14	● steady
C1 Banking system, RBI & BR Act	13	16	9	● steady
C2 Banker & customer: relationship	14	10	10	● steady
C5 Holder, HDC, negotiation & endorsement	5	19	6	▼ less often lately
C8 Paying banker	13	4	8	● steady
C10 Lien, set-off, safe custody & lockers	6	9	8	● steady
C6 Dishonour, discharge, alteration & S.138	6	9	5	● steady
C3 Banker's duties: secrecy, garnishee, honour	10	5	2	▼ less often lately
C12 Bank guarantees & letters of credit	6	6	5	● steady
C7 Crossing of cheques	5	3	6	▲ more often lately
C11 Loans, advances & securities	4	1	7	▲ more often lately
C9 Collecting banker	3	2	3	▲ more often lately
C13 Recovery: DRT & SARFAESI	0	1	5	▲ more often lately

*Number of sittings in brackets. The trend compares questions **per paper** in 2021+ with the earlier years, so a period with fewer papers isn't marked down just for being smaller.*

Questions that keep coming back

Question (same idea)	Asked in	Cluster · key law
General relationship between banker and customer (essay)	**15 of 20 papers** — every period, including Feb 2021, both April/May 2022 papers and April/May 2023	C2 · Foley v Hill, debtor–creditor + special relations
Salient features of the Banking Regulation Act (essay)	Aug 2012 · 2013 · June 2014 · 2014 · Jan/Feb 2017 · May/June 2018 · 2020 · Feb 2021	C1
Statutory protection to the paying banker (essay)	Jan 2012 · Aug 2012 · 2014 · Dec 2015 · Feb 2021 · Apr/May 2023	C8 · S.10, 85, 85A, 128 NI Act
Forged endorsement — banker / holder's title	2013 · 2014 · Dec 2015 · 2016 · 2017 · May/June 2018 · 2022	C5 / C8 · S.85 protects, but forgery passes no title
Partial endorsement (holder writes 'pay ₹x' of a larger note)	2017 · May/June 2018 · 2019 · Feb 2021	C5 · S.56 NI Act
Conditional endorsement ('pay C if he returns from Paris/London')	May/June 2018 · 2020	C5 · S.52 NI Act
Jewels in safe custody, customer later a debtor — lien?	2014 · Dec 2015 · Apr/May 2023	C10 · no general lien on safe-custody articles
Income-tax officer asks for account details — disclose?	2014 · Dec 2015	C3 · Tournier; disclosure under compulsion of law
Paid before countermand reached the bank	2013 · Nov 2022 · Apr/May 2023	C8 · countermand effective only on receipt
Joint locker with nominees, one holder dies	Nov 2022 · Apr/May 2023	C10 · S.45ZC–45ZE BR Act
Fraud on acceptance, later holder knows of it	June 2014 · May/June 2016 · Jan/Feb 2018	C5 · S.53, 9 NI Act
Altered place of drawing on an accepted bill	2017 · Feb 2021	C6 · S.87 material alteration

What to do with this

- **Tier 1** = C4, C1, C2, C5, C8, C10, C6 — prepare a full essay and the repeat problems for each (cluster numbers match the **Banking Law Final Exam Cluster Notes**, where every repeat problem is answered in IRAC form).
- **Tier 2** = C3, C12, C7, C11 — essay outline + short notes. **Tier 3** = C9, C13 — short-note level.
- In Part B, keep **banker–customer relationship** and **BR Act / banking system** essays ready, plus one of **paying banker's statutory protection** or **NI Act features / presumptions**.
- For Part C, master the **NI Act sections that decide the problems**: S.9 (HDC), 15–16 & 52, 56 (endorsements), 10 & 85 (payment in due course), 87 (material alteration), 118 (presumptions), 131 (collecting banker), 138 (dishonour).
- Since 2021, add **DRT / SARFAESI** and **pledge, guarantor, shares as security** to your short-note list.

Sources & how sure we are

- **Full text 2012–2020**: lawsticker-ai.com previous-year-question archive (3 YDC papers).
- **Summaries**: question papers shared on **Studocu** (Osmania University collections) and listed on **GKPAD**. Wording may differ slightly from the printed paper.
- **Course on the header**: 2012, 2013 and June 2014 read **3 YDC V semester**; Jan/Feb 2018, May/June 2019, Feb 2021, Aug/Sept 2021, April/May 2022 (2-hour) and April/May 2023 read **'LL.B (3 YDC) … V Semester' together with 'B.LL (5 YDC) IX Semester'** — common papers. The **3-hour April/May 2022** and **November 2022** copies show **only the 5-year IX semester**; same subject and syllabus, used here as a guide.
- Left out: an **August/Sept 2013 'VI Semester (Old)' optional paper** — a different, older course. No **2024 or 2025** paper was publicly available.
- This report shows what **has** been asked — it is **not a prediction** of what will be asked.

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